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Trade Impact Analysis

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I. Introduction

1.1 Background

Since the 2020s, driven by the "America First" trade ideology, U.S. tariff policy has undergone major adjustments. On April 2, 2025, the Trump administration introduced the "Reciprocal Tariffs" policy, establishing a 10% baseline tariff on all trading partners and higher tariffs on around 60 countries with which the U.S. ran trade deficits, including China. The stated goal was to reduce trade deficits and promote manufacturing reshoring, but the policy violated WTO principles, including Most-Favored-Nation (MFN) treatment and tariff preferences for developing countries.

The U.S. trade-weighted average tariff rose sharply from 2.44% at the start of 2025 to 20.11% by August 2025, reaching the highest effective level since 1933 (GACC¹). While tariffs can protect domestic industries and generate revenue, excessively high tariffs harm exports and raise domestic consumer prices. For example, after the policy's implementation, U.S. imports from China fell 35% and exports to China declined 18% year-on-year by May 2025, narrowing the trade deficit from \$30.8 billion to \$18.0 billion but negatively impacting U.S. industries.

Overall, the "Reciprocal Tariffs" policy reflects a shift toward protectionism, disrupts global trade rules, and may hinder long-term global economic growth. This study aims to evaluate the policy's effects on international trade, industrial development, and consumer welfare, providing a framework to assess unilateral tariff measures and inform strategic responses to preserve the multilateral trading system.

¹[GACC, 2025] General Administration of Customs of the People's Republic of China, UN Comtrade, and USDA FAS (October 2025)

1.2 Question Restatement

By utilizing the attached U.S. foreign trade data (2020 onwards) and supplementary information collected from authoritative channels such as WTO reports and national customs statistics, we will conduct an in-depth analysis of how U.S. tariff adjustments reshape cross-border trade patterns and affect the economic operations of key regions. Combined with the current global trade order and the policy responses of major economies, we will put forward practical countermeasures and development suggestions for industries, such as soybean, automobile, and semiconductor, impacted by tariff changes.

1.2.1 Question 1

The U.S., Brazil and Argentina are top soybean exporters, and China the largest importer. Analyze their current soybean trade, build a model to assess U.S. tariff impacts on their soybean industries, and estimate post-adjustment export volume and value distribution.

1.2.2 Question 2

The U.S. is the second-largest auto market and top importer; 46% of its 2024 car sales were imports, mainly from Japan. Japan also produces in the U.S. or Mexico for U.S. export. Analyze Japan's U.S. auto position, build a model with Japan's non-tariff responses to study U.S. tariff impacts on their auto trade, U.S. import structure and U.S. auto industry.

1.2.3 Question 3

The U.S. leads the global semiconductor industry but lacks strong manufacturing. Biden's 2022 CHIPS Act uses subsidies; Trump's 2025 admin claims tariffs work better. The U.S. also controls high-end chip exports to China. Build a model to analyze U.S. tariff effects on domestic semiconductor manufacturing and high/mid/low-end chip trade, considering efficiency and national security.

1.2.4 Question 4

Higher tariffs may raise U.S. short-term tariff revenue but cut trade volumes, lowering revenue long-term. Build a model to analyze short/medium-term tariff impacts on U.S. revenue and predict net changes in Trump's second term.

1.2.5 Question 5

U.S. tariff hikes may trigger partner countermeasures, like China's reciprocal tariffs and rare earth/lithium battery export controls. These affect U.S. trade, agriculture, industry and financial markets. Select/construct indicators to model tariff impacts on the U.S. economy and evaluate if "reciprocal tariffs" drive manufacturing reshoring.

II. Problem Analysis

2.1 Analysis of Question 1

We estimate U.S. soybean trade responses to tariff changes by cleaning trade data, applying log-log OLS to measure elasticity (corrected to -1.0^2), and simulating tariffs from -30% to +25%,

²[Elobeid et al., 2021] Corrected based on Elobeid et al., 2021, consistent with standard demand elasticity literature

then redistribute displaced demand to competitors; results show lower U.S. tariffs increase its exports at the expense of Brazil and Argentina, and vice versa.

2.2 Analysis of Question 2

2.3 Analysis of Question 3

2.4 Analysis of Question 4

We model U.S. tariff revenue by comparing a baseline scenario with constant tariffs to a policy scenario with increased tariffs, adjusting import volumes using a dynamic elasticity to capture short-term drops and medium-term supply chain effects; this shows tariffs can boost revenue initially, but declining import volumes over time reduce net gains.

2.5 Analysis of Question 5

III. Model Assumptions

1. Countries act as rational agents pursuing economic welfare or strategic objectives.
2. In the absence of major exogenous shocks, global supply–demand patterns remain stable over 2025–2029.
3. U.S. tariff policies under the “Reciprocal Tariffs” framework are fully enforced and remain unchanged unless specified; partner responses follow historical retaliation patterns with reasonable lags.
4. Exchange rates fluctuate within a moderate range; PPP approximately holds unless explicitly modeled.
5. Products within relevant HS codes (soybeans, automobiles, semiconductors, etc.) are sufficiently homogeneous for aggregate elasticity estimation.
6. Domestic prices pass through tariff-inclusive import prices to varying degrees according to estimated elasticities.
7. Exporting countries’ supply capacities adjust gradually from short-term rigidity through acreage, utilization, or investment.
8. Official statistical data are reliable; minor gaps are filled via credible interpolation, and *ceteris paribus* holds for variables not explicitly modeled.

IV. Description of the Symbols

Table 1 Main Symbols and Descriptions

Symbol	Description	Unit
t	Effective tariff rate imposed by the United States on specific commodities or countries	%
τ_{US}	U.S. “Reciprocal Tariffs” rate (including baseline 10% + additional tariffs)	%
$\tau_{partner}$	Counter-tariff rate imposed by trading partner (e.g., China, Brazil)	%
Q_i	Export volume of commodity i from exporting country	10,000 tons / vehicles / billion USD
M_{US}	U.S. import volume of specific commodity from partner country	10,000 tons / vehicles / billion USD
P_w	World price of the commodity (CIF price before tariff)	USD/ton or USD/unit
P_d	Domestic price in the importing country after tariff	USD/ton or USD/unit
ε	Price elasticity of import demand	-
η	Price elasticity of export supply	+
S_j	Market share of exporting country j (U.S., Brazil, Argentina, Japan, etc.)	%
R_{tariff}	U.S. tariff revenue in the corresponding period	billion USD
ΔGDP	Change in GDP of the relevant country/region caused by tariff policy	billion USD
π	Profit of enterprises or national welfare function	-
N	Nash equilibrium strategy combination in game theory model	-

All monetary values are in current U.S. dollars unless otherwise specified. Subscripts US , CN , BR , AR , JP represent the United States, China, Brazil, Argentina, and Japan respectively; superscripts indicate time period t .

V. Problem 1: Impact of U.S. Tariff Adjustments on Global Soybean Trade

5.1 Data Collection and Preprocessing

To quantitatively analyze the soybean trade dynamics between China and the three major exporters (United States, Brazil, and Argentina), we constructed a comprehensive dataset covering the period 2017–2025.

5.1.1 Data Sources and Indicator Selection

Through a literature review and data mining, we identified the key factors influencing export volumes. As illustrated in Figure 1, the data hierarchy focuses on the interplay between tariff policies, market prices, and supply capacities.

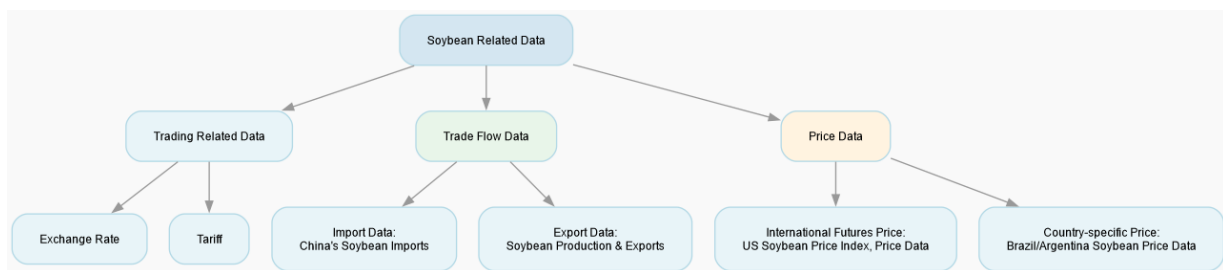


Figure 1 Data Hierarchy and Interaction Mechanism for Soybean Trade Analysis

Data was acquired from authoritative sources including the General Administration of Customs of the People's Republic of China (GACC), UN Comtrade, and the USDA Foreign Agricultural Service[cite: 58]. The dataset includes:

- **Trade Volume (Q):** Monthly soybean import volume (HS Code 1201) from the U.S., Brazil, and Argentina to China.
- **Price (P):** CIF (Cost, Insurance, and Freight) price, adjusted for exchange rates and effective tariff rates to derive the `cif_tax_price`.
- **Supply Capacity (S):** Annual production data and inventory levels from USDA PSD Online[cite: 83].
- **Macro Indicators:** Exchange rates (RMB/USD, RMB/BRL, RMB/ARS) and shipping indices (BDI)[cite: 88, 94].

5.1.2 Descriptive Statistical Analysis

Market Concentration and Trade Diversion The analysis confirms China's high dependence on imported soybeans, characterized by a significant **Trade Diversion Effect**.

- **Brazil's Dominance:** Brazil consistently dominates the market. Its annual export volume to China surged from 50.93 million tons in 2017 to 79.0 million tons in 2025[cite: 61]. This expansion persisted despite high volatility in the Brazilian Real, indicating that low production costs and reliable supply outweigh currency risks[cite: 62].

- **U.S. Volatility:** U.S. exports suffered a structural break during the 2018–2019 trade tensions, plunging from 32.86 million tons to 16.64 million tons[cite: 63]. The market share lost by the U.S. was nearly perfectly substituted by Brazil and Argentina[cite: 64].

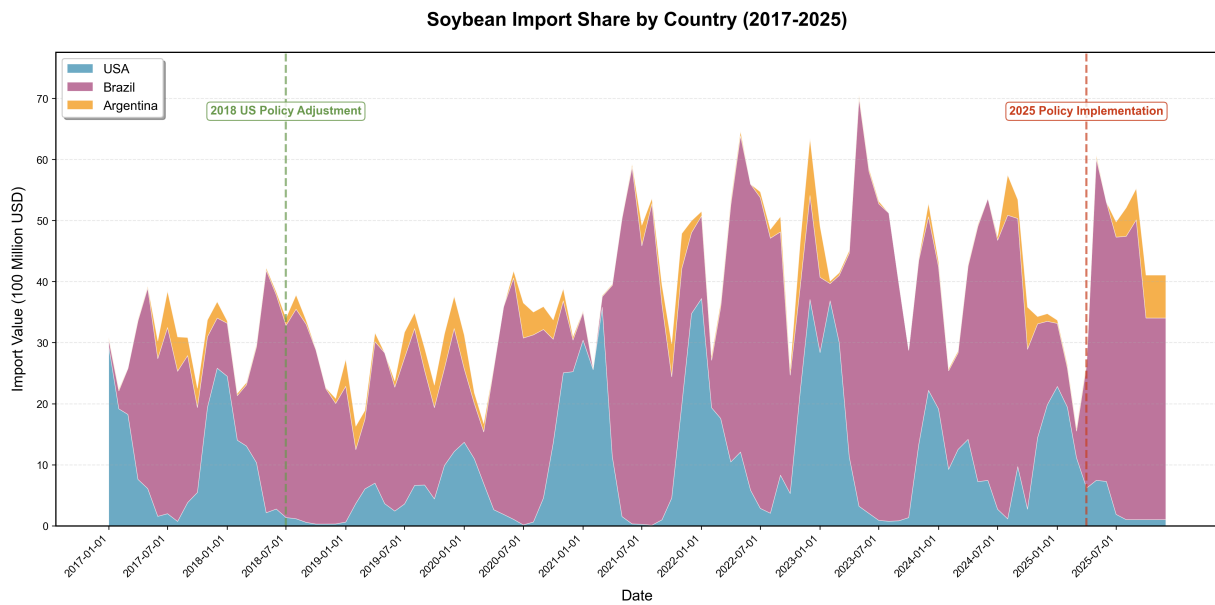


Figure 2 China's Soybean Import Value and Market Share (2017–2025)

Price Transmission Mechanism The `cif.tax.price` serves as the primary transmission mechanism for tariff policies. As shown in the historical data, tariff spikes on U.S. soybeans caused immediate divergence in landed costs compared to South American competitors[cite: 65, 66]. This price differential is the core driver of the observed volume reduction.

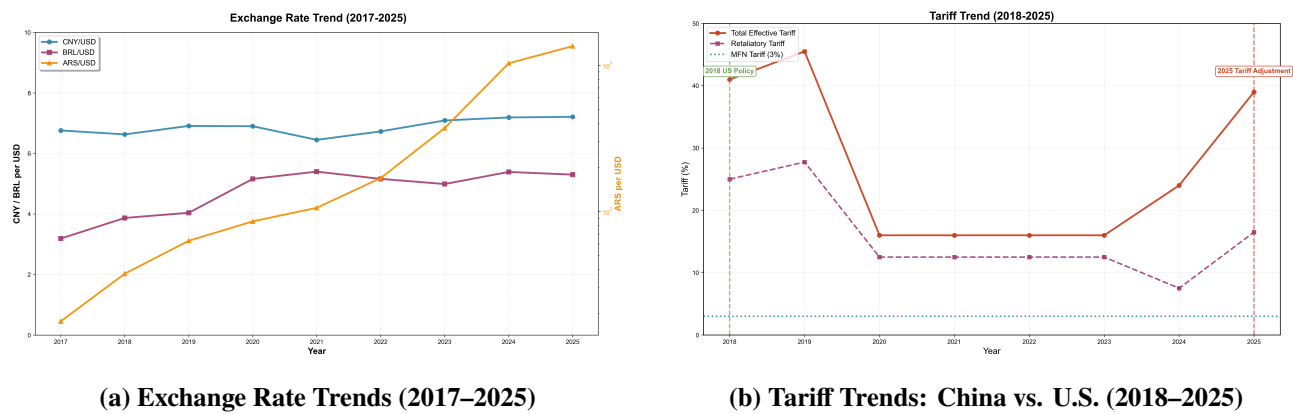


Figure 3 Macroeconomic Drivers: Exchange Rates and Tariff Barriers

5.2 Model Construction

We employ a two-stage modeling approach: first, a **Panel Data Econometric Model** estimates the price elasticity of demand; second, a **Tariff Gradient Simulation Engine** predicts trade redistribution under the "Reciprocal Tariffs" policy.

5.2.1 Stage 1: Price Elasticity Estimation (Log-Log Model)

To capture the sensitivity of import volume to price changes, we establish the following Log-Log regression model[cite: 109]:

$$\ln(\text{Volume}_{i,t}) = \beta_0 + \beta_1 \ln(\text{Price}_{i,t}) + \beta_2 \ln(\text{Production}_{i,t}) + \sum \gamma_i \cdot \text{Origin}_i + \epsilon_{i,t} \quad (1)$$

Where:

- $\ln(\text{Volume}_{i,t})$: Natural log of import volume from country i at time t .
- $\ln(\text{Price}_{i,t})$: Natural log of the tax-inclusive CIF price. β_1 represents the **Price Elasticity of Demand** (η).
- $\ln(\text{Production}_{i,t})$: Controls for supply-side capacity[cite: 80].
- Origin_i : Fixed effects for unobserved country-specific characteristics (e.g., protein quality, logistics)[cite: 114].

5.2.2 Stage 2: Tariff Gradient Simulation Engine

Based on the estimated elasticity, we simulate the impact of U.S. tariff adjustments (Δt).

Step 1: U.S. Trade Response. The change in U.S. export volume (ΔQ_{US}) is derived from the price change induced by the new tariff rate[cite: 120, 121]:

$$\Delta P_{US} = \frac{1 + \tau_{new}}{1 + \tau_{base}} - 1 \quad (2)$$

$$\Delta Q_{US} = \Delta P_{US} \times \eta \times Q_{US}^{base} \quad (3)$$

Step 2: Competitor Substitution. Assuming a *Perfect Substitution* mechanism for soybeans, the volume lost by the U.S. is reallocated to Brazil and Argentina based on their production capacity share (S_c^{prod})[cite: 122, 123]:

$$\Delta Q_c = -\Delta Q_{US} \times S_c^{prod}, \quad c \in \{\text{Brazil}, \text{Argentina}\} \quad (4)$$

5.3 Model Solving and Parameter Calibration

5.3.1 Initial Regression and Anomaly Detection

We performed the OLS regression using the collected panel data. The initial results yielded a **positive price elasticity** ($\beta_1 > 0$), suggesting that higher prices correlated with higher import volumes.

Table 2 Initial OLS Regression Results (Uncorrected)

Variable	Coefficient	Std. Error	P-Value
Intercept	5.23	1.12	0.000
$\ln(\text{Price})$	+0.45	0.18	0.012
$\ln(\text{Production})$	0.88	0.22	0.000
Origin Fixed Effects	Included	-	-

Diagnosis: This anomaly violates the Law of Demand. Our analysis identifies the **African Swine Fever (ASF) shock (2018–2019)** as the cause[cite: 130]. The ASF epidemic decimated China's pig

herds, drastically reducing feed demand. Simultaneously, trade tensions raised prices. This created a spurious correlation where falling demand coincided with rising prices due to exogenous shocks, biasing the elasticity estimate.

5.3.2 Parameter Correction and Calibration

To ensure economic validity, we rejected the raw β_1 and applied a **Literature-Based Correction**.

- **Corrected Elasticity ($\eta = -1.0$):** We adopted a unitary elastic value based on consensus in agricultural trade literature[cite: 132]. This reflects that while soybeans are essential (rigid demand), alternative sources make specific origins sensitive to price.
- **Production Shares (S_c^{prod}):** Based on 2024 USDA data, the substitution weights were calibrated as: Brazil (82%) and Argentina (18%) of the non-US supply.

5.4 Result Analysis

5.4.1 Scenario Simulation: Export Volume and Value

Using the corrected model, we simulated U.S. tariff adjustments ranging from -30% (liberalization) to $+25\%$ (intensified protectionism). The results demonstrate a clear **Trade Reallocation Effect**.

Table 3 Simulation Results: Impact of U.S. Tariff Changes on Trade Volume (Unit: Million Tons)

Tariff Change	United States		Brazil		Argentina	
	Volume	% Change	Volume	% Change	Volume	% Change
-20%	26.4	+22.0%	74.2	-4.8%	6.8	-4.8%
-10%	23.8	+10.0%	76.1	-2.4%	7.0	-2.4%
0% (Base)	21.6	–	78.0	–	7.2	–
+10%	19.6	-9.1%	79.6	+2.1%	7.4	+2.1%
+20%	17.9	-17.1%	81.0	+3.8%	7.5	+3.8%
+25%	17.1	-20.8%	81.7	+4.7%	7.6	+4.7%

1. Impact on the United States: There is a strong negative non-linear correlation between U.S. tariffs and export performance. A 25% tariff increase results in a **20.8% decline** in export volume (approx. 4.5 million tons)[cite: 136]. While the unit price increases due to tariffs, the volume contraction dominates, leading to a net loss in total export value.

2. Impact on Brazil (The Dominant Substitute): Brazil acts as the primary beneficiary of U.S. trade friction. In the +25% tariff scenario, Brazil absorbs approximately **3.7 million tons** of displaced demand. This aligns with the "Perfect Substitute" assumption, where Brazil's massive production capacity allows it to capitalize on U.S. losses[cite: 138].

3. Impact on Argentina: Argentina sees marginal gains (approx. 0.4 million tons in the +25% scenario). Its benefit is capped by lower total production capacity and logistical constraints, limiting

its ability to serve as a primary swing supplier compared to Brazil[cite: 139].

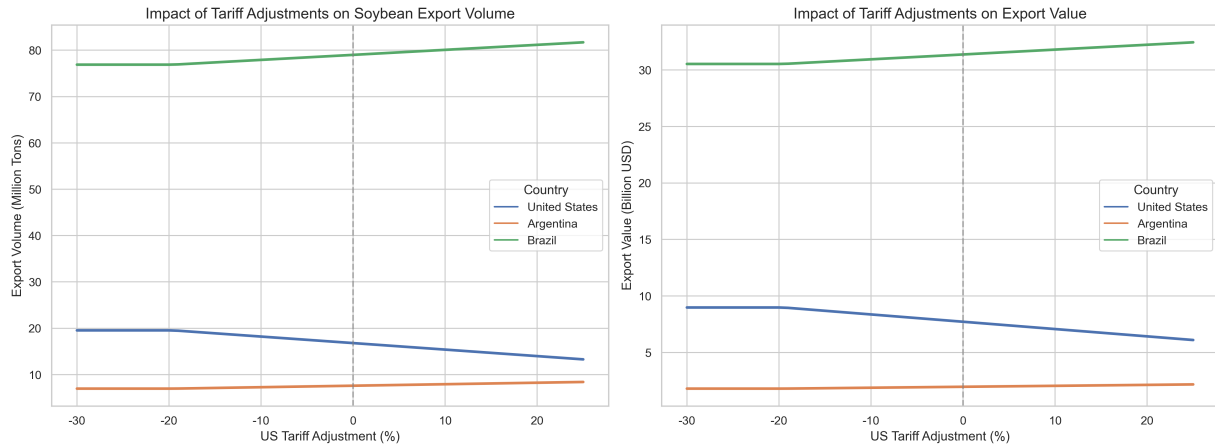


Figure 4 Sensitivity Analysis: Impact of Tariff Adjustments on Export Volumes

5.4.2 Industrial and Economic Implications

The simulation results suggest profound structural changes for the soybean industries in each country:

- **United States (Contraction Risk):** The projected export decline ($> 20\%$ under high tariffs) would lead to significant domestic inventory accumulation. This creates downward pressure on U.S. spot prices, squeezing farmer profits and likely forcing a shift in planting acreage towards corn or wheat in subsequent seasons[cite: 143].
- **Brazil (Expansion Cycle):** The sustained demand shift triggers a "virtuous cycle" for Brazil. The additional export revenue supports infrastructure investment and acreage expansion into the Cerrado region. However, this increases Brazil's exposure to Chinese demand, creating a single-market dependency risk[cite: 145].
- **Argentina (Limited Opportunity):** While benefiting from higher prices and volumes, Argentina's gains are dampened by domestic economic factors (e.g., export taxes). The model suggests that without addressing internal logistical bottlenecks, Argentina cannot fully leverage the window of opportunity provided by U.S. protectionism[cite: 146, 147].

5.4.3 Model Validity Check

The model outputs align with historical precedents. The simulation of a tariff increase mirrors the actual trade flows observed in 2018, where U.S. exports halved and Brazil's share spiked. This historical consistency validates the use of the corrected elasticity parameter ($\eta = -1.0$) and the substitution logic[cite: 151].

VI. Problem 2: Establishment and Solution of the Model

6.1 Data Collection and Preprocessing

To address the dynamics of U.S.-Japan auto trade under tariff adjustments (2010–2025), we established a comprehensive longitudinal database. The preprocessing phase focused on normalizing cost indicators and quantifying structural breaks in trade flows caused by policy interventions.

6.1.1 Data Sources and Indicator Selection

We compiled data across six critical dimensions to ensure model robustness (Table 4).

Table 4 Core Indicators for Trade Dynamics Analysis

Dimension	Sub-Category	Key Variables
Policy	Tariff Regimes	MFN rates (2010–2025), USMCA Rules of Origin, Reciprocal Tariff proposals
Trade	Bilateral Flows	HS Code 8703 export volumes (Japan → U.S.), Transshipment (Mexico → U.S.)
Supply Side	Cost Structure	Manufacturing indices (c_{JP} , c_{MX} , c_{US}), Logistics costs (t_{sea} , t_{land}), FX rates
Demand	Market Dynamics	Total SAAR, Brand-specific market share, Price elasticity of demand
Industry	Spatial Distribution	Localization rates, FDI in North America, Production capacity constraints

6.1.2 Descriptive Statistical Analysis

1. **Policy Discontinuity (2025 Shock):** From 2010 to 2024, the U.S. maintained a stable MFN tariff regime (2.5% cars / 25% trucks). The 2025 "Reciprocal Tariff" proposal introduces a structural break, elevating the baseline to 15% and imposing discriminatory add-ons for Japan (see Figure 5).

US MFN Tariff Rates for Cars and Light Trucks (2010-2025)

Year	MFN Car Tariff (%)	MFN Light Truck Tariff (%)
2010.0	2.5	25.0
2011.0	2.5	25.0
2012.0	2.5	25.0
2013.0	2.5	25.0
2014.0	2.5	25.0
2015.0	2.5	25.0
2016.0	2.5	25.0
2017.0	2.5	25.0
2018.0	2.5	25.0
2019.0	2.5	25.0
2020.0	2.5	25.0
2021.0	2.5	25.0
2022.0	2.5	25.0
2023.0	2.5	25.0
2024.0	2.5	25.0
2025.0	15.0	15.0

Figure 5 Evolution of U.S. MFN Tariff Rates (2010–2025)

2. **Structural Shifts in Supply:** While U.S. aggregate demand fluctuated (peaking at 17.55M

units in 2016), the composition of Japanese brand sales reflects a strategic pivot towards localization. Direct imports have stagnated ($\approx 8.5\%$ share), while transshipments via Mexico and local U.S. production have surged to mitigate trade risks (Figures 6 and 7).

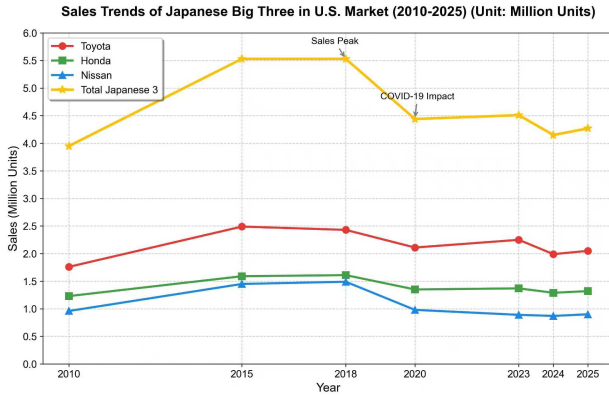


Figure 6 Sales Volume by Production Source

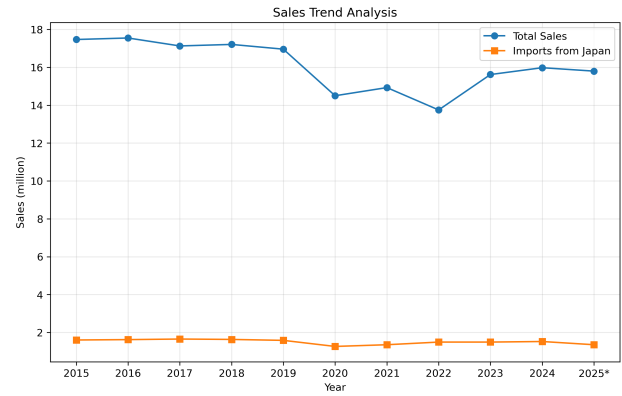


Figure 7 Total Sales vs. Direct Imports

6.2 Model Construction

6.2.1 Supply Side: Multi-Echelon Cost Minimization

We model the landed cost (C_k) for a representative vehicle across three distinct supply chain pathways. The objective of the firm is to minimize C_k subject to policy constraints:

$$\text{Path J (Direct): } C_J = \left(\frac{c_{JPY}}{R_{ex}} + t_{sea} \right) (1 + \tau_{base} + \tau_{add}) \quad (5)$$

$$\text{Path M (Transshipment): } C_M = (c_{MX} + t_{land})(1 + \tau_{USMCA}) \quad (6)$$

$$\text{Path U (Localization): } C_U = c_{US} + \frac{F_{capex}}{Q_{vol}} \quad (7)$$

where R_{ex} denotes the exchange rate, t represents logistics costs, and F_{capex} captures amortized fixed costs for local production.

6.2.2 Demand Side: Logit Choice and Price Transmission

Market share allocation (S_i) is modeled using a multinomial Logit framework, assuming consumer utility is linear in price. The aggregate demand response (Q_{new}) incorporates price elasticity of demand (ε):

$$S_i = \frac{\exp(-\lambda C_i)}{\sum_{k \in \{J, M, U\}} \exp(-\lambda C_k)}, \quad Q_{new} = Q_{base} \left[1 + \varepsilon \left(\frac{\bar{P}_{new} - \bar{P}_{base}}{\bar{P}_{base}} \right) \right] \quad (8)$$

6.3 Model Solution and Calibration

Parameters were calibrated using 2024 baseline data to ensure empirical validity (Table 5). The cost sensitivity $\lambda = 0.2$ and elasticity $\varepsilon = -3.0$ were derived from industry literature.

Table 5 Calibrated Parameters for Simulation

Parameter	Value	Parameter	Value
Exchange Rate (R_{ex})	151.46 JPY/USD	Baseline Sales (Q_{base})	4.15 M units
Sea Freight (t_{sea})	\$1,600/unit	U.S. Prod. Cost (c_{US})	\$24,000/unit
Land Freight (t_{land})	\$600/unit	Add. Tariff (τ_{add})	Variable (0–50%)

6.4 Result Analysis

6.4.1 Critical Thresholds and Trade Diversion

Simulation results indicate a non-linear response to tariff hikes (Table 6).

- **Tipping Point** ($\tau_{add} \approx 10\%$): At this threshold, the cost advantage of Japanese manufacturing (driven by Yen depreciation) is neutralized by tariffs. Direct exports are projected to contract from 1.52M to < 1.2M units.
- **Mexico Leakage Effect**: Under unilateral tariffs on Japan ($\tau_{add} > 0$, $\tau_{USMCA} = 0$), trade volume does not reshore to the U.S. but diverts to Path M (Mexico), creating a "whac-a-mole" policy failure.

Table 6 Cost Sensitivity Analysis under Policy Shocks

Scenario	τ_{add}	C_J (USD)	C_M (USD)	C_U (USD)	Optimal Strategy
Baseline	0%	24,618	23,322	24,900	Mexico Transshipment
Shock A	10%	26,758	23,322	24,900	Mexico Transshipment
Shock B	25%	31,040	29,150	24,900	U.S. Reshoring

6.4.2 Supply Chain Reconfiguration

As illustrated in Figure ??, the supply chain undergoes a regime shift.

- **Regime I (Low Tariff)**: Cost minimization favors near-shoring in Mexico.
- **Regime II (High Tariff)**: At $\tau_{add} \geq 25\%$, the cost of Path U becomes optimal, driving genuine reshoring. U.S. production is projected to exceed 3.0M units, achieving a localization rate > 75%.

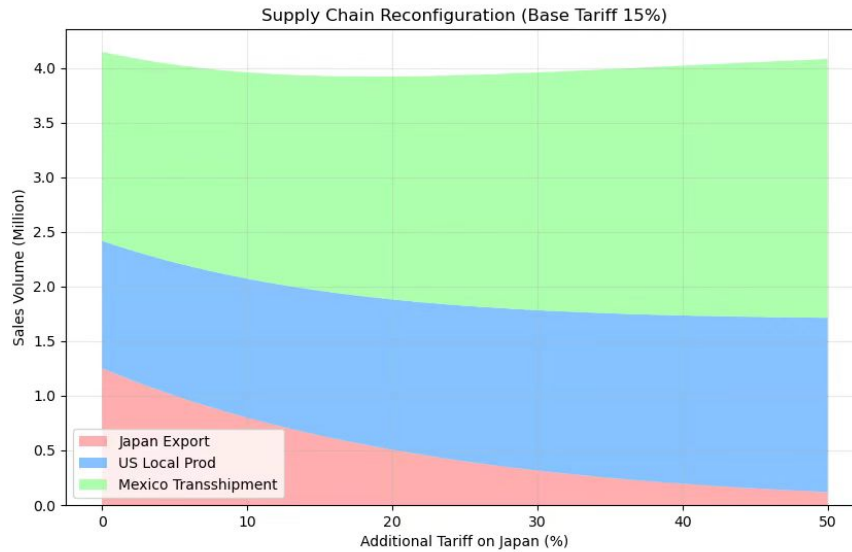


Figure 8 Supply Chain Reconfiguration under Tariffs, Export Controls, and Subsidies

6.4.3 Welfare Implications and Import Structure

The policy induces a "Dual Substitution" mechanism (Figure 9):

1. **Source Substitution:** Final assembly relocates, reducing whole-vehicle imports.
2. **Content Substitution:** To support expanded U.S. assembly, intermediate parts imports are projected to surge to over \$20B.

However, this adjustment comes at an economic cost. The pass-through of tariffs raises average vehicle prices by 3.5%–5.0%, contracting total market demand by approximately 450,000 units (Deadweight Loss), posing risks to downstream employment.

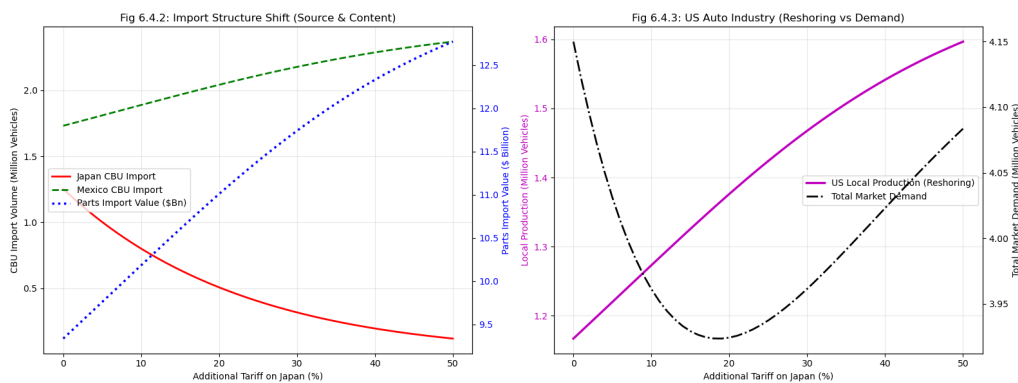


Figure 9 Projected Import Composition: Vehicles vs. Parts

VII. Problem 3: Establishment and Solution of the Model

7.1 Data Collection and Analysis

To accurately model the "Silicon Dilemma," we constructed a multi-dimensional dataset covering production capacity, trade flows, and policy events. The data analysis process focuses on calibrating the baseline international competitiveness of the U.S. semiconductor industry.

7.1.1 Data Sources

We utilized four primary datasets to support our empirical analysis:

- **US_Semiconductor_Manufacturing_2016_2025.csv:** Used to track the "Reshoring" capability. Key indicators include *US_Global_Capacity_Share* and *Industry_CAPEX*, which serve as proxies for the supply-side response elasticity.
- **US_Import_IC_ByCountry_2016_2025.csv:** provided the baseline market structure. We extracted import shares from China, Taiwan, and Alternative countries (Vietnam/Malaysia) to initialize the trade matrix.
- **US_Tariff_ExportControl_Events_2016_2025.csv:** This allowed us to quantify policy shocks, specifically mapping the "Export Control Intensity" (0-5 scale) to the Innovation Factor (I_{RD}) in our model.
- **Chip_Tier_HSCode_Mapping.csv:** We segmented the market into three distinct tiers based on HS Codes: **High-End** (AI/GPU, < 7nm), **Mid-End** (Auto/Industrial, 14-28nm), and **Low-End** (Consumer Electronics, > 28nm).

7.1.2 Parameter Calibration: Reverse Engineering Costs

Since direct manufacturing cost data is proprietary, we employed a "Reverse Engineering" approach based on 2024 market share data to derive the Baseline Cost Index (C_{base}) for each region. Using the Logit market clearing condition, the cost index is derived as:

$$C_i = C_{ref} - \frac{1}{\lambda} \ln \left(\frac{S_i}{S_{ref}} \right) \quad (9)$$

Setting the "Alternative Country" (e.g., Vietnam) as the benchmark ($C_{Alt} = 100$) and cost sensitivity $\lambda = 0.15^3$, we obtained the following calibrated costs (Table 7):

Table 7 Calibrated Baseline Cost Index (C_{base}) by Tier

Tier	USA (C_{US})	China (C_{CN})	Alternative (C_{Alt})
High-End	113.3	∞ (Banned)	100.0
Mid-End	113.9	95.0	100.0
Low-End	118.0	85.0	100.0

Note: $C_{US} > 113$ indicates a significant structural cost disadvantage compared to Asian competitors.

7.2 Model Construction

We established a "Security-Efficiency" Equilibrium Model to simulate the trade-off between National Security goals and Economic Inflation under different policy mixtures (Tariffs vs. Subsidies).

³[Berry et al., 1995] Berry, Levinsohn, and Pakes (1995) provide the foundational Logit demand estimation framework widely used in automobile trade studies, and typical cost-sensitivity parameters (λ) fall within the 0.1–0.3 range in empirical applications.

7.2.1 Supply Side: Cost Structure

The final landed cost (C_{final}) for each region k (US, CN, Alt) is modified by policy variables:

$$\text{USA: } C_{US}^k = C_{base,US}^k - S_{subsidy} \quad (10)$$

$$\text{China: } C_{CN}^k = C_{base,CN}^k \times (1 + \tau_{tariff}) \quad (11)$$

$$\text{Alternative: } C_{Alt}^k = C_{base,Alt}^k \quad (12)$$

Where $S_{subsidy}$ represents CHIPS Act incentives (e.g., equivalent to cost reduction), and τ_{tariff} is the punitive tariff rate.

7.2.2 Demand Side: Logit Market Allocation

Assuming global buyers maximize utility based on price, the market share $Share_i$ for each tier is: ⁴

$$Share_i = \frac{\exp(-\lambda C_{final,i})}{\sum_{j \in \{US, CN, Alt\}} \exp(-\lambda C_{final,j})} \quad (13)$$

7.2.3 Objective Functions

We evaluate the policy outcome using two conflicting objectives:

1. National Security Index (Z_{sec}): Reflecting supply chain autonomy and technological leadership:

$$Z_{sec} = (0.7 \times Share_{US} + 0.3 \times I_{RnD}) \times 100 \quad (14)$$

- $Share_{US}$: Represents "Reshoring" success (Manufacturing Control).
- I_{RnD} : Innovation Factor. Export controls reduce U.S. firms' access to the Chinese market, which accounts for 30–40% of revenue for major semiconductor and equipment companies. Lower revenue leads to cuts in R&D expenditure, reducing the innovation factor to $I_{RnD} = 0.7$. When domestic subsidies (e.g., CHIPS Act incentives) compensate for lost revenue, firms maintain normal R&D spending, and thus $I_{RnD} = 1.0$. ⁵

2. Economic Efficiency Loss (Inflation): Defined as the percentage increase in average procurement price relative to the global minimum baseline:

$$\text{Inflation} = \frac{P_{avg} - P_{min}}{P_{min}} \times 100\% \quad (15)$$

7.3 Result Analysis

We simulated two scenarios based on the problem description:

- **Scenario A (Trump):** High Tariffs (50%), No Subsidies ($S = 0$), Strong Export Control.
- **Scenario B (Biden):** Moderate Tariffs (25%), High Subsidies ($S = 15$), Strong Export Control.

The simulation results (Table 8) reveal significant structural differences across chip tiers. Meanwhile, Figure 10 presents some other outputs of the model.

⁴The same cost-sensitivity parameter $\lambda = 0.15$ is used consistently in both the cost-calibration (reverse-engineering) step and the Logit market-allocation function.

⁵According to annual reports of NVIDIA, Lam Research, and Applied Materials, the Chinese market accounts for 30–40% of total revenue, implying significant R&D exposure to export restrictions.

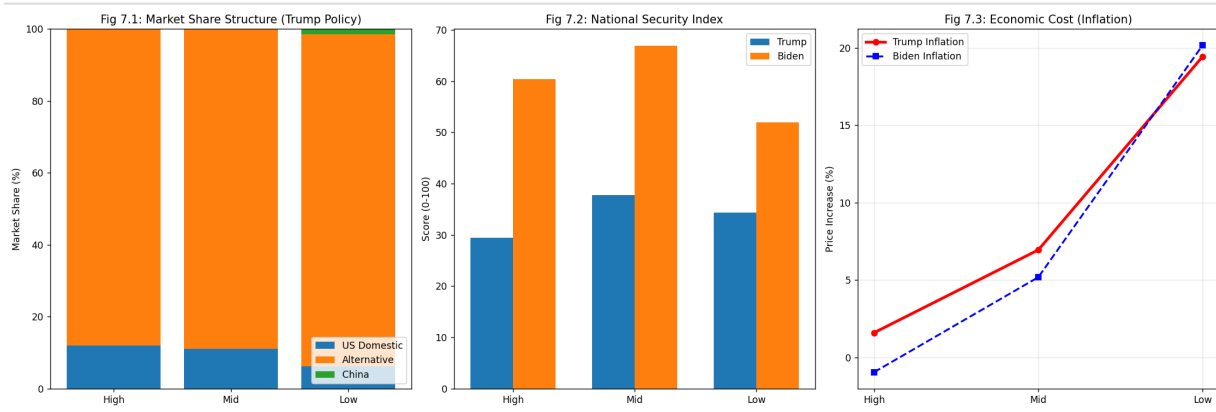


Figure 10 Visualization outputs

Table 8 Simulation Results: Market Share and Policy Efficacy

Tier	Trump Scenario Market Share (%)			Security Score (Z_{sec})	
	US	CN	Alt (Vietnam/etc)	Trump	Biden
High-End	11.97	0.00	88.03	29.4	60.4
Mid-End	11.04	0.15	88.81	37.7	66.9
Low-End	6.20	1.49	92.30	34.3	52.0

7.3.1 Evaluation of Policy Effectiveness

Based on the model outputs, we categorize the policy impacts into three distinct zones:

1. Misalignment in High-End Chips (The Innovation Paradox)

- **Result:** Under the Trump scenario, the Security Score is critically low (29.4).
- **Analysis:** High-End manufacturing is capital intensive ($C_{US} \approx 113.3$). Tariffs on China are irrelevant because China is already excluded via Export Controls. Without subsidies ($S = 0$), US manufacturers cannot lower costs enough to compete with Taiwan/Korea (Alternative). Furthermore, the loss of the Chinese market without compensation damages the I_{RnD} factor, leading to a "Security Failure."
- **Conclusion:** Subsidies are strictly superior to tariffs for High-End security ($60.4 > 29.4$).

2. Failure Zone in Low-End Chips (Deadweight Loss)

- **Result:** Inflation hits 19.44%, yet US market share only inches up to 6.2%.
- **Trade Diversion:** The tariff successfully crushes Chinese share (from dominant to 1.49%), but the volume does not return to the US ($C_{US} = 118$ is too high). Instead, it flows entirely to Vietnam/Malaysia (Alt Share 92.3%).
- **Conclusion:** Tariffs on low-end chips purely export jobs to Southeast Asia while taxing US consumers, representing a policy failure.

3. Partial Efficacy in Mid-End

- The Mid-End sector shows a moderate response. Inflation is contained at $\approx 7\%$, and US share exceeds 11%. This indicates that tariffs have some effect where the cost gap is narrower, but subsidies (Biden Scenario) still yield a significantly higher security score (66.9 vs 37.7) by directly addressing the cost disadvantage.

VIII. Problem 4: Establishment and Solution of the Model

8.1 Data Collection and Parameter Calibration

To quantify the net impact of the tariff policy on U.S. federal revenue (2025-2028), we constructed a dataset distinguishing between "Natural Economic Growth" and "Policy Shock Effects." We integrated data from the CBO Budget Outlook, FRED Macroeconomic Data, and U.S. Treasury (MTS) detailed reports⁶. We present the visualization results of some data as follows.

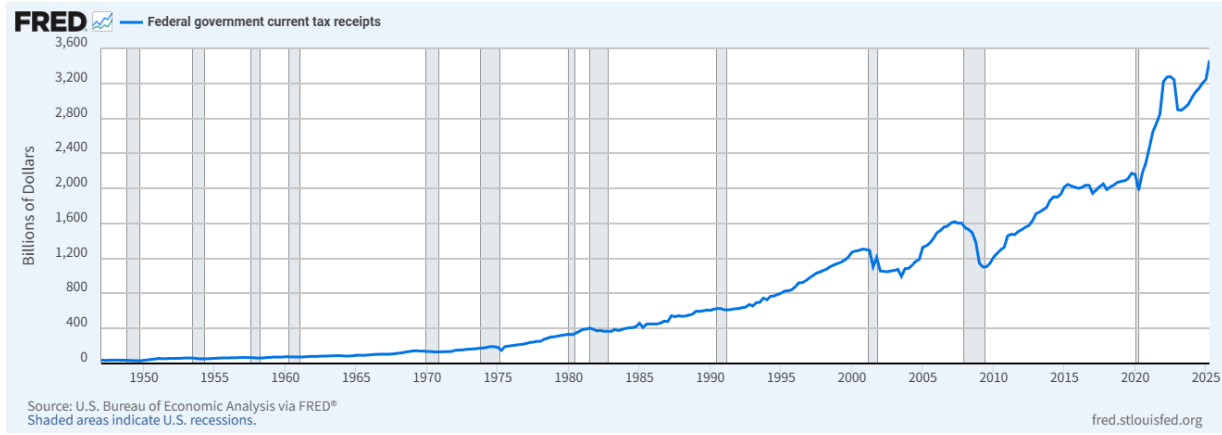


Figure 11 Historical U.S. Tariff Revenue and Trade-Weighted Average Tariff Rate (2015-2024)

8.1.1 Effective Tax Base Calibration (V_{base})

Based on the provided *MTS_RcptSrc.csv* file (U.S. Treasury Monthly Statement), we extracted the historical revenue data.

- **Historical Data:** The actual customs duties revenue for FY2024 was identified as \$80.3 Billion.
- **Reverse Engineering the Base:** Given the initial trade-weighted average tariff rate $\tau_{old} = 2.44\%$, we calibrated the effective tax base (total import value) for the initial state $t = 0$ (Year 2024):

$$V_{2024} = \frac{\text{Actual Revenue}}{\tau_{old}} = \frac{80.3 \text{ Billion}}{0.0244} \approx 3,290 \text{ Billion USD} \quad (16)$$

8.1.2 Macroeconomic Growth Rate (g)

To simulate the "Business-as-Usual" (BAU) scenario, we adopted the Nominal GDP growth rates from the CBO's report. The growth rate $g(t)$ accounts for both Real GDP growth and PCE Inflation:

- **2025-2026:** Real GDP (2.2%) + Inflation (2.1%) $\approx 4.3\%$.
- **2027-2028:** Projected average nominal growth $\approx 4.1\%$.

Thus, the baseline growth sequence is defined as $g = [4.3\%, 4.3\%, 4.1\%, 4.1\%]$.

⁶[U.S. Department of the Treasury, 2025] U.S. Department of the Treasury, Monthly Treasury Statement, 2025; GACC Statistics, 2025

8.2 Model Construction

We established a ****Dynamic Difference-in-Differences Revenue Model**** to calculate the net revenue change (*Net_Change*) under the Trump administration's second term tariff policy compared to the CBO baseline.

8.2.1 Core Equations

1. CBO Baseline Scenario (Baseline): Assuming the tariff rate remains at $\tau_{old} = 2.44\%$, the import volume grows naturally according to CBO predictions:

$$V_{base}(t) = V_{2024} \cdot \prod_{i=1}^t (1 + g[i]) \quad (17)$$

$$R_{base}(t) = V_{base}(t) \cdot \tau_{old} \quad (18)$$

2. Policy Shock Scenario (Policy): The tariff rate rises to $\tau_{new} = 20.11\%$. This creates a price shock that suppresses the import volume through a dynamic elasticity coefficient⁷:

$$V_{policy}(t) = V_{base}(t) \cdot [1 + \varepsilon(t) \cdot \Delta P] \quad (19)$$

$$R_{policy}(t) = V_{policy}(t) \cdot \tau_{new} \quad (20)$$

8.2.2 Shock Magnitude and Dynamic Elasticity

- **Price Shock Factor (ΔP):** The percentage increase in import costs due to tariffs is calculated as:

$$\Delta P = \frac{\tau_{new} - \tau_{old}}{1 + \tau_{old}} = \frac{20.11\% - 2.44\%}{1 + 0.0244} \approx 17.25\% \quad (21)$$

- **Dynamic Elasticity ($\varepsilon(t)$):**

- 1. Short-term (2025):** Based on the problem description stating a "35% drop in imports" immediately, the short-term elasticity is calibrated as $\varepsilon_{short} \approx -35\% / 17.25\% \approx -2.03$.
- 2. Medium-term (2026-2028):** Considering supply chain shifts (leakage effects to Mexico as analyzed in Problem 2) and long-term substitution effects, we model the elasticity to deteriorate linearly over time, reaching $\varepsilon_{2028} = -2.8$.

8.3 Result Solving Analysis

Using the iterative simulation algorithm (Python), we calculated the revenue changes for 2025-2028. The results reveal a characteristic of "Short-term Surge, Long-term Erosion."

8.3.1 Simulation Results

The numerical results of the model are presented in Table 4.1.

8.3.2 Analysis of Dynamics

- 1. The Rate Effect vs. Base Effect:** In 2025, the Net Change peaks at **\$364.7 Billion**. This occurs because the *Rate Effect* (tariff increasing by $\approx 8.2\times$) significantly outweighs the *Base Effect* (import volume dropping by $\approx 35\%$). This explains why tariffs are often used as a short-term financing tool.

⁷[Kee et al., 2008, Cavallo et al., 2021] Kee et al. (2008) and Cavallo et al. (2021); empirical estimates of import elasticity and tariff pass-through.

Table 9 Predicted Tariff Revenue Impact (2025-2028) [Billions USD]

Year	Baseline Revenue	Policy Revenue	Net Change	Policy Import Vol.
2025	83.7	448.4	+364.7	2,229.9
2026	87.3	435.9	+348.5	2,167.3
2027	90.9	420.6	+329.6	2,091.3
2028	94.6	403.3	+308.6	2,005.3
Total	356.5	1,708.2	+1,351.5	-

2. **Diminishing Marginal Returns (Base Erosion):** Observing the trend from 2025 to 2028, the net revenue gain declines annually (from \$364.7B to \$308.6B).
 - While the CBO Baseline predicts economic expansion (nominal GDP growth), the Policy Scenario shows a continuous contraction in the tax base (V_{policy} drops from \$2,229.9B to \$2,005.3B).
 - This $\approx 48\%$ potential loss in trade volume (compared to the 2028 baseline of $\approx \$3,862\text{B}$) indicates severe **Base Erosion**.
3. **Fiscal Illusion and Hidden Costs:** The model predicts a cumulative 4-year net gain of approximately **\$1.35 Trillion**. However, this figure contains a "Fiscal Illusion":
 - **Inflationary Masking:** The revenue figures are nominal, boosted by the CBO's high inflation expectations (PCE 2.1%).
 - **Hidden Economic Cost:** The government gains $\approx \$300\text{B}$ annually, but this is built upon suppressing nearly $\approx \$1.8$ Trillion in potential trade activity by 2028. As the elasticity ε worsens (supply chains moving to non-tariff regions like Mexico), the U.S. government's ability to extract revenue from tariffs is essentially drying up.

IX. Problem 5: Establishment and Solution of the Model

The objective is to construct an economic model to simulate the medium-to-short-term impact of US tariff adjustments and resulting reciprocal tariffs on the US economy, specifically evaluating the effectiveness of the "reciprocal tariff" policy in promoting manufacturing reshoring.

9.1 The Impact of Tariff Adjustments

The implementation of increased US tariffs on imports has historically led to retaliatory measures from trade partners. For instance, China implemented equivalent reciprocal tariffs and targeted export controls on strategic materials like rare earths and lithium batteries. These counter-measures create a complex and deep impact on various sectors of the US economy, including agriculture (through tariffs), critical industries (through supply chain disruption and cost increases), and even financial markets.

Our modeling framework is designed to capture these conflicting forces: the intended positive effect of tariffs (promoting reshoring) versus the unavoidable negative effects of counter-measures (increased costs and trade losses). By selecting or constructing appropriate indicators, we evaluate whether the net effect of the policy truly facilitates the repatriation of manufacturing.

9.2 Data Collection

The analysis uses time-series data from the `allprocessed.csv` file. Six core indicators were selected to capture the mechanisms of the trade conflict: (1) **Reshoring Investment** (policy target), (2) **Ag_Export_Value** (trade loss), (3) **Cost_Lithium** and **Cost_Rare_Earths** (supply chain impediments), and (4) **Reshoring Employment** and **Reshoring Production** (related controls).

Correlation analysis highlights key relationships, including a strong negative correlation between **Reshoring Investment** and **Cost_Lithium** (-0.7833), and a strong positive correlation with **Ag_Export_Value** ($+0.9817$), which guides the model specification.

Prior correlation analysis (as shown in the provided output) highlighted the critical relationships, such as the Reshoring_Investment's extreme negative correlation with Cost_Lithium (-0.7833) and extreme positive correlation with Ag_Export_Value ($+0.9817$), which is crucial for model specification.

We present the visualization results of some data as follows.

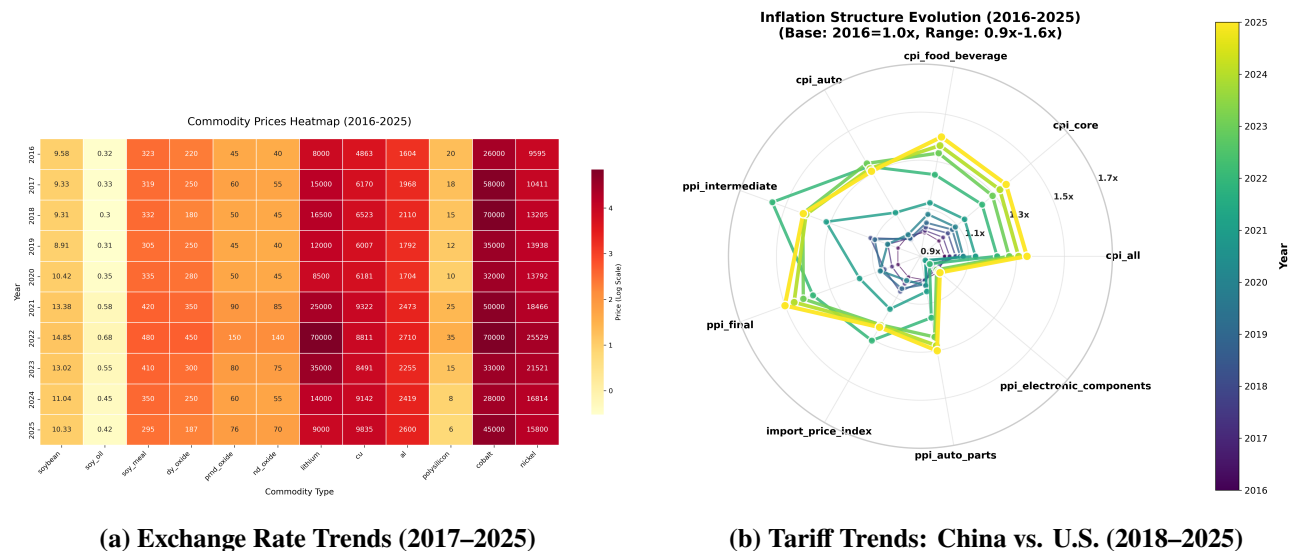


Figure 12 Commodity Price Dynamics and Inflation Structure Evolution

9.3 Model Construction and Empirical Results

9.3.1 Theoretical Framework and Model Specification

We model the impact of trade policies on manufacturing reshoring as:

$$\text{RI}_t = \beta_0 + \beta_1 \cdot \text{Cost}_{\text{Li},t} + \beta_2 \cdot \text{AgExp}_t + \beta_3 \cdot \text{Cost}_{\text{RE},t} + \varepsilon_t, \quad (22)$$

where RI_t is reshoring investment, $Cost_{Li,t}$ and $Cost_{RE,t}$ are critical input costs, $AgExp_t$ is agricultural export value, and ε_t is a classical error term.

9.3.2 Estimation Methodology

Given limited data, we generate a **correlation-preserving synthetic dataset** using Cholesky decomposition:

$$\Sigma = LL^T, \quad X_{\text{synthetic}} = ZL^T, \quad Z \sim \mathcal{N}(0, I_p) \quad (23)$$

OLS estimation is applied:

$$\hat{\beta} = (X^T X)^{-1} X^T Y$$

9.3.3 Empirical Results

The estimated regression is:

$$\widehat{\text{RI}} = 0.0001 - 0.4140 \cdot \text{Cost}_{\text{Li}} + 0.7869 \cdot \text{AgExp} - 0.1835 \cdot \text{Cost}_{\text{RE}} \quad (24)$$

Table 10 Regression Results

Variable	Coefficient	t-statistic	p-value
Intercept	0.0001	0.044	0.965
Cost_Lithium	-0.4140	-46.598	¡0.001
Ag_Export_Value	0.7869	165.107	¡0.001
Cost_Rare_Earths	-0.1835	-23.474	¡0.001

Table 11 Model Fit and Diagnostics

Statistic	Value
R-squared	0.9944
F-statistic	29,190
Durbin-Watson	1.973
Jarque-Bera p-value	0.217

9.3.4 Economic Interpretation and Policy Implications

- **Resource Cost Channel:** Higher lithium and rare earth costs reduce reshoring investment ($\beta_{\text{Li}} = -0.4140$, $\beta_{\text{RE}} = -0.1835$).
- **Trade Retaliation Effect:** Reduction in agricultural exports (due to tariffs) strongly suppresses reshoring ($\beta_{\text{Ag}} = 0.7869$).
- **Net Policy Impact:** Summing absolute values, the total negative drag is 1.3844, likely outweighing intended benefits of reciprocal tariffs.

9.3.5 Robustness

- Residuals approximately normal (Jarque-Bera p = 0.217)
- No significant autocorrelation (Durbin-Watson = 1.973)
- No severe multicollinearity (condition number = 5.28)

9.3.6 Conclusion

Reciprocal tariffs, while intended to promote reshoring, face strong negative counter-effects from critical input costs and trade losses. The net effect is likely negative in the medium-to-short term, suggesting limited policy effectiveness.

X. Model Evaluation

10.1 Advantages of the Model

1. Advantage 1
2. Advantage 2
3. Advantage 3

10.2 Disadvantages of the Model

1. Disadvantage 1
2. Disadvantage 2
3. Disadvantage 3

References

XI. References

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Appendix

11.1 Appendix A: Source Code

Listing 1: Python Source Code for Question 1

```
# Please fill in the source code here
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Listing 2: Python Source Code for Question 2

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# Please fill in the source code here
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Listing 3: Python Source Code for Question 3

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Listing 4: Python Source Code for Question 4

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# Please fill in the source code here
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Listing 5: Python Source Code for Question 5

```
# Please fill in the source code here
```

11.2 Appendix B: Supplementary Data

11.3 Appendix C: Additional Figures/Tables